Besides the minimum support prices (MSP) which was announced before sowing started, the government started announcing procurement prices (after the harvesting of the crops) at which it purchased the crops from the farmers. Procurement prices were announced higher than the MSP since the government was lagging behind when its foodgrain procurement required to maintain the buffer stocks. But this increased price hardly served the purpose as a suitable incentive to farmers. It would have been better had it been announced before sowing and not after harvesting. Since the fiscal 1968-69 the government announced only the MSP which is considered the procurement price, too.[26]

ISSUE PRICE

The price at which the foodgrains are allowed by the government to offtake from the FCI—this is the price at which the FCI sells its foodgrains. The FCI has been incurring huge losses in the form of food subsidies.[27]

The government-procured foodgrains are stored temporarily in the concerned states of their purchase and then transported to their decided FCI godowns as part of the buffer stock. From here they head to the sale counters. The transportaion, godowning, the cost of maintaining the FCI, grain losses make the foodgrains touch higher price that are never affordable by the masses. That is why the issue prices have never been market-based prices. The gap is considered as the element of the food subsidy in India.

BUFFER STOCK

India has a policy of maintaining a minimum reserve of foodgrains (only for wheat and rice) so that food is available throughout the country at affordable prices round the year. The main supply from here goes to the public distribution system (now TPDS) and at times goes to the open market to check the rising prices if needed. As per the current Buffer